



WSJ

THE WALL STREET JOURNAL WEEKEND



DOW JONES | News Corp ***** SATURDAY/SUNDAY, JULY 18 - 19, 2026 - VOL. CCLXXXVIII NO. 15 WSJ.com ★★★★★ \$6.00

What's News

Business & Finance

- ◆ **The surprise release** of a breakthrough AI model from China intensified a selloff in chip stocks Friday. The S&P 500 fell 1%, while the Nasdaq slid 1.4% and the Dow lost 0.8%. **A1**
- ◆ **A top executive** at Amazon's cloud division plans to join Meta in the coming weeks, a sign of the social-media giant's ambitions in developing data centers. **B11**
- ◆ **Apple momentarily** edged out Nvidia to reclaim its title as the most valuable publicly traded company in the U.S. **B11**
- ◆ **Walmart is shuffling** the leadership atop its U.S. business as the retailer's new chief executive continues to build his team. **B11**
- ◆ **Boeing won back** the authority to perform final safety signoffs on its newly produced 737 MAX and 787 Dreamliner jets. **B11**
- ◆ **Burberry reported** steady sales growth for its most recent quarter, reflecting a stall-ing recovery after the Middle East conflict diluted demand in the U.S. and China. **B11**
- ◆ **GSK shares fell** after the U.K. drugmaker said it would stop working on an experimental treatment for chronic cough that showed limited efficacy in late-stage clinical studies. **B12**

Worldwide

- ◆ **President Trump's address** Thursday, in which he tried to raise doubts about the integrity of the U.S. election system, was the latest in a string of decisions that have baffled and frustrated senior members of Trump's own party. **A1**
- ◆ **Trump's claims** of Chinese interference in the 2020 U.S. elections add a new irritant to a tenuous detente already strained by trade and technological competition. **A4**
- ◆ **SpaceX is in talks** with the Defense Department about providing the agency with access to data-center capacity worth billions of dollars for running AI models. **A3**
- ◆ **House Republicans** are plunging ahead with a plan to approve extra military spending more than four months into the Iran war, but the package is much smaller than the broader boost Trump has been seeking. **A6**
- ◆ **Fighting between** the U.S. and Iran has expanded, with the American military striking a broader range of targets and moving jet fighters into the Middle East while Tehran launches attacks across the Persian Gulf. **A7**
- ◆ **Hostilities between** Saudi Arabia and Yemen's Iran-backed Houthi militia are raising the threat to a crucial oil-export route that the kingdom has been using to work around the blockage in the Strait of Hormuz. **A7**

OPINION

Louise Perry:
How did we come to
bash the dead? **A15**

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Texas Floods Leave Destruction, Prompt Rescues



WASHOUT: Debris is left behind Friday along the Guadalupe River in Kerrville after heavy rains triggered more flooding in Texas Hill Country. At least two people have died, and first responders were rushing to help others trapped in high waters. **A6**

Lettuce Crisis Deals Big Blow To Taco Bell's Winning Streak

By Heather Haddon

Fast-food chains have struggled for years to win back consumers fatigued with rising prices and unexciting menus—and then there's Taco Bell.

The home of the Crunch-wrap Supreme and Cheesy Gordita Crunch has kept on finding ways to grow, rolling out new offerings like Diablo

Dusted Crispy Chicken Nuggets and Mountain Dew Baja Blast Pie, helping it outpace competitors in U.S. sales growth for at least six years.

A microscopic parasite now threatens Taco Bell's hot streak, potentially imperiling millions of dollars in sales and setting up a slog to win back consumers. Yum Brands, the chain's parent company, could

have to contend with a stand-out brand not delivering the consistent sales growth that has powered its overall revenue and profit.

"We see risk that concerns about Taco Bell food safety could pose a measurable headwind," Baird restaurant analysts said Friday, particularly if consumers connect the problem more to the chain

than its supplier.

Federal health officials said Thursday the outbreak of cyclosporiasis was linked to shredded iceberg lettuce served at Taco Bell locations in Michigan, Indiana, Ohio, Kentucky and West Virginia. They said more than 1,600 people who became ill in the outbreak reported eating at Taco Bell lo-

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Downsize? No Thanks. Boomers Buy Bigger Homes.

By Rachel Louise Ensign

Angela and Victor Martino raised their two daughters decades ago in a ranch house measuring less than 2,000 square feet. The empty-nesters recently bought the 5,000-square-foot house next door.

After a year-long renovation, the Denair, Calif., home has a huge kitchen with space for the commercial meat slicer that Victor uses to cut a leg of prosciutto at family events. There is a playground with polished concrete floors meant to withstand damage from their seven grandchildren. The primary bathroom tub has features to help them get in and out more easily as they get older.

"We'll downsize when they plant me 6 feet into the ground," Victor, 64, said.

Well-off boomers are increasingly upsizing their homes as they age, either buying bigger ones or financing additions to their existing properties. They are building guesthouses for family members and gourmet kitchens for entertaining, alongside such features as high-end grab bars and first-floor primary bedrooms for aging in place.

In the process, they are rewriting the rules of retirement and aging, when people are expected to move into smaller homes to save money.

Boomers make up the larg-

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EXCHANGE



NEW RULES
Venture capital is transforming in a historic IPO boom. **B1**

Roller-Coaster Week Vexes Trump Allies

WASHINGTON—It was an address that many Republicans and even some of President Trump's own advisers didn't want him to make.

By Meridith McGraw, Brian Schwartz and Lindsay Wise

But 18 months into his second term, the president has little interest in hearing the word "no."

Thursday night's roughly 25-minute prime-time address, in which Trump tried to raise doubts about the integrity of the U.S. election system, was the latest in a string of decisions—at home

and abroad—that have baffled and frustrated senior members of Trump's own party, according to people familiar with the matter.

Some in the GOP worry the president isn't focused enough on the economic issues that voters say they care about most, not to mention his war in Iran that shows no sign of letting up, ahead of an election in which Republicans are at risk of losing their majorities in Congress.

White House officials said Trump's focus on elections doesn't mean he is ignoring economic issues. They noted that he has taken steps to

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People Are Finally Reading 'The Odyssey'—After 3,000 Years

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Christopher Nolan and Matt Damon got people to do what teachers never could

By Esther Zuckerman and Connor Hart

When Sam Wall was assigned "The Odyssey" in high school, he didn't read it. Instead, he learned just enough to pass his English class.

With Christopher Nolan's movie adaptation coming out, not being fully prepared was not an option. So Wall, now 21, picked up a translation of the epic poem. He inhaled it in a few days, and then reread it. He also

read Virgil's "The Aeneid," which covers the story of the Trojan Horse, an element of Nolan's film coming out Friday.

"I need to make sure that I read it, so that I know if it's accurate or not," Wall said.

Wall's not alone. Readers are digging into various editions of the story so they can be ready to watch

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◆ **Ancient people fought about 'The Odyssey,' too..... C3**

Office Conversions Get a Reality Check

Trouble at big project draws scrutiny to apartment development boom

In the late 1990s, a young Nathan Berman walked into a faded brick office building in Manhattan's Financial District and saw the future.

By Nicholas G. Miller, Peter Grant and Kevin T. Dugan

Within two years, he had transformed the 1920s-era Tyler Building into 111 modern apartments.

Berman was at the leading edge of what has turned into a real-estate boom.

U.S. Tech Shares Sink on China AI Advances

Investors fret over the sustainability of heavy spending, China's Moonshot

By Vicky Ge Huang and Tina Li

The surprise release of a breakthrough artificial-intelligence model from China intensified a selloff in chip stocks Friday, fueling concerns about competition in AI and corporate spending that underpins its build-out.

The anxiety pushed the PHLX Semiconductor index, packed with industry heavyweights such as Nvidia, Broadcom and Micron Technology, into bear-market territory. The index sank 10% this week, its steepest weekly drop since April 2025. A bear market is defined by a drop of 20% or more from a recent peak.

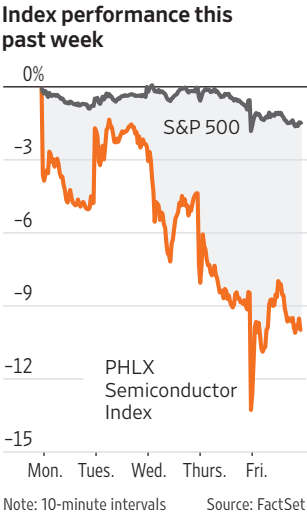
Tech stocks led a Friday selloff that by late afternoon had broadened to envelop 10 of 11 sectors in the S&P 500 index. The benchmark fell 1%, with only energy stocks up on the day, while the tech-heavy Nasdaq composite slid 1.4%.

The latest trigger was China's Moonshot AI, which unveiled its Kimi K3 large language model Friday. The Beijing-based startup said the model outperforms some U.S. systems, stoking what some analysts called "DeepSeek 2.0 concerns"—a nod to the rival Chinese AI startup that upended global markets last year.

"This is concerning," David Sacks, co-chair of the President's Council of Advisors on Science & Technology, wrote on social media about Moonshot.

Kimi K3 made its debut as the world's largest open-source model, according to the company, and topped some well-known U.S. counterparts, in-

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Banks and brokerage firms were abandoning older office buildings, and New York and other cities were growing desperate for new housing as rents soared. Converting offices into apartments was a financial and political winner.

Berman and his company, MetroLoft, went all in. Over time, the projects got bigger and more complicated. He wasn't just turning office nooks into kitchenettes, or making cubicle spaces into

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